

The stock pictured in [Figure 41.7](#) posed an interesting situation for her. She was not keen on shorting a stock because her paper trades rarely worked. Still, she kept her eyes open and searched for good investment candidates. This one piqued her interest.

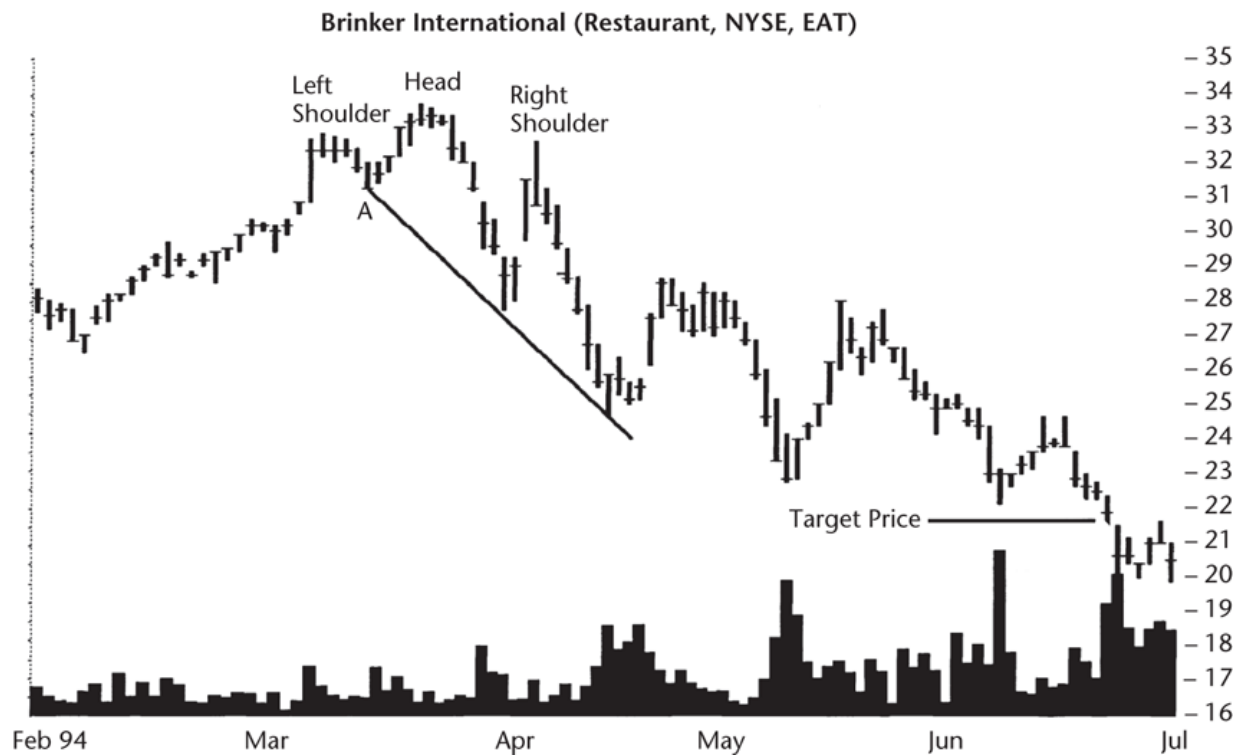


Figure 41.7 Head-and-shoulders top with steep neckline. There is no target price using the conventional measure rule because of the steep neckline.

The stock began its uphill run just before May 1993. It followed a gently sloping trendline upward until late January when it stumbled (not shown). The stock moved down to 26.50 before recovering, a drop of less than three points, but a sign of weakness. Kelly followed the stock closely, and when the head appeared, she made a note on her program that it might turn into a head-and-shoulders top. “It just had that certain feel.” She was correct.

The right shoulder plunge took price lower than she expected but quickly recovered to near the left shoulder high. She drew a neckline connecting point A with the steep plunge between the head and right shoulder, and thought the line was too steep to serve as an anchor for the measure rule. Instead, she used the height from the head to the right armpit projected downward from the armpit as the target. The target became 21.88. That